FREE FINANCING REPORT

1-4 Unit Fix-and-Flip Financing Report

Why Investors Still Choose This Strategy, What the 2026 Numbers Show, and the Metrics That Actually Matter

Prepared by K2 Commercial Finance

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PAGE 1

Why Investors Continue to Pursue 1-4 Unit Fix-and-Flips

Investors are drawn to 1-4 unit fix-and-flip projects for a combination of speed, control, and forced equity creation that longer-term hold strategies do not offer as directly.

- **Shorter capital cycles.** Most successful flips target a 4–9 month hold. Capital returns faster than in traditional buy-and-hold, allowing the same equity to be reused across multiple projects in a year.
- **Ability to force appreciation.** Value is created primarily through renovation and repositioning rather than waiting for market appreciation. This gives the investor more influence over the outcome.
- **Residential financing classification.** Properties with four or fewer units generally remain eligible for residential-style lending products (including many hard-money and bridge programs), which can be faster and more accessible than commercial financing on larger assets.
- **Multiple exit options.** A finished 1-4 unit property can be sold to an owner-occupant, an investor seeking cash flow, or held and refinanced if the numbers support it.
- **Scalability for active operators.** Once systems for acquisition, renovation management, and exit are in place, experienced flippers can run several projects simultaneously.

The strategy rewards disciplined underwriting and execution more than market timing. In tighter-margin environments, that discipline becomes the primary competitive advantage.

PAGE 2

2026 Market Outlook for 1-4 Unit Fix-and-Flips

Recent data shows a market that has moved past the peak-profit years but remains active and viable for operators who underwrite conservatively.

- Typical gross returns on flipped single-family and small residential properties rose modestly to approximately 25.4% in Q1 2026, with average gross profit around $66,000. This marked the first quarterly improvement after an extended period of declining margins.

  Source: ATTOM Q1 2026 U.S. Home Flipping Report

- Overall flip volume has been lower than the 2021–2022 peak, yet flipping still accounts for roughly 7–8% of total home sales in many periods.

  Source: ATTOM Q1 2026 U.S. Home Flipping Report

- Renovation costs remain elevated compared with pre-2022 levels (recent averages in the $69,000–$79,000 range depending on market and scope).

  Source: ATTOM; Burns + Kiavi / John Burns Research & Consulting Fix and Flip surveys (2026)

- Investor sentiment has been mixed by region. Many operators report longer days on market and a higher share of sales occurring below initial ARV projections, particularly in parts of Texas, the Southeast, and Florida. Midwest and certain Northeast markets have shown relatively stronger results.

  Source: Burns + Kiavi Fix and Flip Market Index surveys (Q1–Q2 2026); ATTOM

- A notable share of flippers indicate they plan to purchase more properties in 2026 than in the prior year, citing improved access to capital and signs of price stabilization in select markets.

  Source: Burns + Kiavi / John Burns Research & Consulting Fix and Flip Survey (early 2026)

- The most consistent performers are those treating the strategy as a business of precise acquisition pricing, controlled rehab scope, and realistic timelines rather than relying on rapid price appreciation.

Bottom line for 2026: The opportunity has not disappeared. It has become more selective. Deals that worked with loose underwriting in prior years are less likely to produce acceptable returns today. Operators who buy right, control costs, and manage hold periods carefully continue to find workable projects.

Market statistics drawn from ATTOM Data Solutions Q1 2026 U.S. Home Flipping Report and Burns + Kiavi / John Burns Research & Consulting Fix and Flip Market surveys (2026). Figures are industry averages and can vary significantly by market and property condition.

PAGE 3

Critical Investment Metrics for 1-4 Unit Fix-and-Flips

Successful investors evaluate every potential deal against a consistent set of metrics. The following are the numbers that matter most:

1. **After-Repair Value (ARV)**
   The projected market value once renovations are complete, supported by recent comparable sales of similar renovated properties. This is the foundation of every other calculation.

2. **All-In Cost as a Percentage of ARV**
   Purchase price + renovation costs + expected holding and transaction costs, expressed as a percentage of ARV. **65–70% target / 70–75% ceiling**

3. **Gross and Net Profit Margin**
   Gross profit = sale price minus purchase price (before rehab and other costs). Net profit targets after all costs are considered realistic goals for disciplined deals — lower margins leave little room for overruns. **15–20% of ARV net**

4. **Annualized Return on Investment**
   Because flips are short-term, annualized ROI is often more meaningful than simple project ROI. A $40,000 net profit on a six-month project produces a significantly higher annualized return than the same profit earned over twelve months.

5. **Hold Period / Days to Exit**
   Model a realistic timeline rather than optimistic 90-day assumptions. Longer holds increase carrying costs (interest, taxes, insurance, utilities) and erode returns.
   120–180 days

6. **Renovation Contingency**
   Recommended on the rehab budget, especially when systems (roof, HVAC, plumbing, electrical) are involved. **15–20% minimum**

7. **Liquidity & Reserves**
   Lenders and prudent operators both expect the borrower to have cash available for cost overruns and extended holding periods beyond the initial budget.

These metrics form the practical filter that separates deals worth pursuing from those that only look attractive on the surface.

PAGE 4

Practical Framework & Getting It Right the First Time

A Simple Pre-Offer Checklist

Before making an offer, confirm:

- [ ] ARV is supported by tight, recent comps
- [ ] All-in cost stays within your target percentage of ARV
- [ ] Rehab scope and budget include contingency
- [ ] Timeline assumptions are conservative
- [ ] Exit strategy (retail sale vs. investor sale vs. refinance) is clear and realistic for the local market
- [ ] You have (or can obtain) financing that matches the project timeline and risk profile

Common Reasons Deals Underperform

- Overly aggressive ARV
- Underestimated rehab or holding costs
- No contingency for delays or change orders
- Relying on best-case market conditions
- Approaching lenders who do not actively fund short-term 1-4 unit value-add projects

Final Perspective

1-4 unit fix-and-flip remains a viable strategy in 2026 for investors who treat it as a disciplined, numbers-driven business. The operators producing consistent results are those who combine accurate underwriting with access to capital sources that understand and actively fund this specific type of transaction.

High-level knowledge of the metrics and market conditions is valuable. Turning that knowledge into funded deals still requires the right preparation and the right lending relationships.

Getting it right the first time matters. Incomplete packages, mismatched lenders, and avoidable delays are among the most common reasons otherwise solid projects lose time, money, and momentum.

YOUR NEXT STEP

How the K2 Lender-Ready System Helps

If you're serious about securing financing for commercial property, investment property, or your business, you owe it to yourself to use a system that's been developed over 26 years of commercial mortgage brokering.

This is the exact system K2 Commercial Finance has used to help clients secure more than $100 million in financing. It is designed to save you time, energy, and effort — and to put you immediately in front of the lenders most likely to fund your specific deal.

For $49.99, you get six months of full access to the complete K2 Lender-Ready System — including:

- **Preferred Lender Directory** — Curated lenders who have shown appetite for commercial real estate and business loans, matched to your property type and loan program.
- **AI Prep Coach** — Dozens of targeted prompts to help you present your transaction more clearly, position yourself as a stronger borrower, analyze lender offers, and negotiate with confidence.
- **Password-protected Deal Room** — Securely store and share documents in one private workspace.
- **Document Library** — A complete collection of documents, forms, checklists, and templates lenders commonly request.
- **Submission Tracker** — Know exactly where each file stands so nothing falls through the cracks.

Even with solid information, success still depends on approaching the right lenders with a properly prepared package. The K2 Lender-Ready System gives you both.

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